

Chapter 18 OOPG Results

Catastrophic Payments for Health Care, NLSS IV 2022/23

Authors' calculations from NLSS IV

Compiled with MiKTeX pdf_lat_ex

Scope and Method

This report follows the Chapter 18 catastrophic-payment framework for **OOPG** only. OOPG is the project term for household out-of-pocket spending on communicable disease or injury from NLSS Section 8(B).

The estimates use household survey weights. The primary denominator convention is the Wagstaff health-including construction used in the current analysis pipeline: total expenditure and capacity-to-pay denominators add total real OOP back to the NLSS health-excluding welfare aggregate.

Box 18.1-style Results: Incidence and Intensity

Catastrophic payment measure	5%	10%	15%	25%	40%
<i>OOPG as share of total expenditure</i>					
Head count (H)	13.97%	6.72%	3.65%	1.58%	0.70%
standard error	0.61%	0.38%	0.26%	0.16%	0.10%
Overshoot (O)	1.23%	0.75%	0.50%	0.25%	0.09%
standard error	0.07%	0.06%	0.04%	0.03%	0.02%
Mean positive overshoot (MPO)	8.81%	11.14%	13.73%	16.12%	13.29%
<i>As share of capacity-to-pay expenditure</i>					
Head count (H)	—	—	9.08%	4.52%	1.96%
standard error	—	—	0.46%	0.31%	0.18%
Overshoot (O)	—	—	1.42%	0.78%	0.33%
standard error	—	—	0.09%	0.06%	0.04%
Mean positive overshoot (MPO)	—	—	15.68%	17.31%	16.80%

Table 1: Incidence and intensity of catastrophic OOPG payments, Nepal NLSS IV 2022/23.

Book-style Figure

Box 18.1-style OOPG Results

*Incidence and Intensity of Catastrophic OOPG Payments, Nepal NLSS IV 2022/23
Defined with Respect to Total and Capacity-to-Pay Expenditure, Various Thresholds*

Catastrophic payment measure	5%	10%	15%	25%	40%
<i>OOPG as share of total expenditure</i>					
Head count (H)	13.97%	6.72%	3.65%	1.58%	0.70%
standard error	0.61%	0.38%	0.26%	0.16%	0.10%
Overshoot (O)	1.23%	0.75%	0.50%	0.25%	0.09%
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OOPG Total and Capacity-to-Pay Budget Share against Cumulative Percentage of Households Ranked by Decreasing Budget Share, Nepal NLSS IV 2022/23

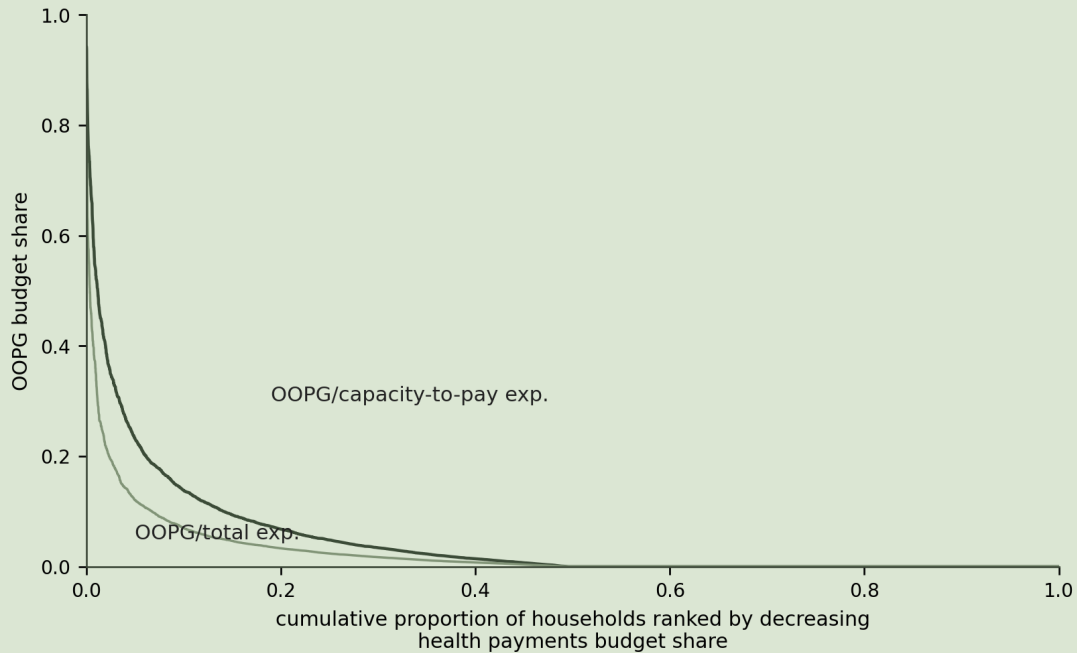


Figure 1: Book-style table and budget-share curve for OOPG.

Box 18.2-style Results: Distribution-Sensitive Measures

Distribution-sensitive measure	5%	10%	15%	25%	40%
<i>OOPG as share of total expenditure</i>					
Concentration index, C^H	-0.0053	0.0740	0.1517	0.3308	0.5004
Rank-weighted head count, H^W	14.04%	6.22%	3.09%	1.05%	0.35%
Concentration index, C^O	0.1846	0.2902	0.3808	0.5317	0.6585
Rank-weighted overshoot, O^W	1.00%	0.53%	0.31%	0.12%	0.03%
<i>As share of capacity-to-pay expenditure</i>					
Concentration index, C^H	—	—	-0.0255	0.0602	0.1865
Rank-weighted head count, H^W	—	—	9.32%	4.25%	1.60%
Concentration index, C^O	—	—	0.1352	0.2336	0.3885
Rank-weighted overshoot, O^W	—	—	1.23%	0.60%	0.20%

Table 2: Distribution-sensitive catastrophic OOPG payment measures. Households are ranked by pre-OOP welfare.

Box 18.2-style Distribution-Sensitive OOPG Measures

Distribution-sensitive catastrophic payment measures use household weights and rank households by pre-OOP welfare.

Distribution-sensitive measure	5%	10%	15%	25%	40%
<i>OOPG as share of total expenditure</i>					
Concentration index, C^H	-0.0053	0.0740	0.1517	0.3308	0.5004
Rank-weighted head count, H^W	14.04%	6.22%	3.09%	1.05%	0.35%
Concentration index, C^O	0.1846	0.2902	0.3808	0.5317	0.6585
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Concentration index, C^H	—	—	-0.0255	0.0602	0.1865
Rank-weighted head count, H^W	—	—	9.32%	4.25%	1.60%
Concentration index, C^O	—	—	0.1352	0.2336	0.3885
Rank-weighted overshoot, O^W	—	—	1.23%	0.60%	0.20%

Source: NLSS IV; authors' calculations.

Figure 2: Book-style distribution-sensitive OOPG output.

Short Interpretation

At the 10% total-expenditure threshold, 6.72% of households experience catastrophic OOPG payments. The corresponding overshoot is 0.75%, meaning that, averaged over all households, OOPG payments exceed the 10% threshold by 0.75 percentage points. Among households that cross the threshold, the mean positive overshoot is 11.14%.

Using the capacity-to-pay denominator, the 40% threshold identifies 1.96% of households as catastrophic. The concentration index for this headcount is 0.1865, while the rank-weighted headcount is 1.60%. These results suggest that the OOPG catastrophic burden is present but relatively concentrated in a smaller set of households.